SABLE HARBOR

SABLE HARBOR BOARD OF DIRECTORS

Special Meeting Minutes — Wolf Ridge Industrial Financing

Record ID: `SH-BRD-MIN-2022-10-28`

Meeting date: October 28, 2022

Record state: LOCKED IN-UNIVERSE BOARD RECORD

Prepared for: Corporate Governance / Board records

Related doctrine: `BOARD_AND_CAPITAL_GOVERNANCE.md`; `BOARD_EVOLUTION_2016_2026.md`

Attendance

The meeting was held by videoconference and recorded in the corporate minute book.

Directors present: Daniel; Priya Raman; Jon Bell; Hendrik "Harry" van der Velde; Dr. Lilia Maratovna Galiullina; Evan Mercer.

Invited participants: finance, legal, operations, and technical leadership as requested by the Board. Representatives of Wolf Ridge Holdings were excused for deliberation and voting except where management requested factual clarification.

Purpose

Management presented a proposed industrial-growth financing led by **Wolf Ridge Holdings**. The Board considered whether Sable Harbor's balance sheet, governance, and oversight architecture were sufficient for a larger long-duration capital partner and increasing physical-operating exposure.

Materials reviewed

The Board reviewed management's financing memorandum, valuation and dilution analysis, proposed use of proceeds, capital-exposure schedule, acquisition-readiness assessment, industrial-risk memorandum, field-operating-exposure summary, technology/reliability maturity update, and proposed board-composition changes.

Discussion

The Board discussed the strategic tension between software repeatability and the emerging need to understand, finance, and govern physical operations. Evan Mercer pressed management on product focus, margin quality, repeatable deployment, and the risk of disguising bespoke services or industrial projects as software scale. Harry van der Velde pressed the downside case, liquidity, leverage tolerance, and what would happen in an adverse cycle.

The Board determined that Wolf Ridge's permanent or very long-duration industrial-capital perspective would be useful if it did not produce investor control or ordinary-course veto rights. The Board also determined that the company's growing complexity required a separate independent audit/control voice distinct from Harry's capital and cycle discipline.

Resolutions

After discussion, the Board approved management's entry into definitive documents for an approximately **$135 million** financing led by **Wolf Ridge Holdings**, subject to final legal review and no material adverse change in negotiated terms.

The Board approved the working financing model at approximately **$900 million post-money**, with no founder secondary and a post-round ownership posture of approximately **66.5% insiders / 33.5% outside capital**.

The Board appointed **Marianne Voss** as Wolf Ridge's board representative effective upon closing.

The Board appointed **Thomas "Tom" Calder** as an independent director with a mandate to strengthen financial reporting, audit, compliance, and control oversight.

The Board affirmed that capital discipline, audit/control discipline, software economics, and industrial-cycle judgment are distinct board capabilities and should not be collapsed into one investor or management function.

Canon boundaries

This record does not predetermine later ARU, BS&T, Red Wash, Pale Sun, or physical-asset transactions. It does not create a Wolf Ridge veto over ordinary operations. Exact definitive legal provisions, investor thresholds, and side agreements remain implementation records unless separately canonized.